Figure B.12 London Gold, 1974–2012

60/40 BALANCED PORTFOLIO

Given the ability of 12-month absolute momentum to improve risk-adjusted performance over a broad range of individual assets, it is natural to wonder how absolute momentum might affect our multiasset portfolios. One of the simplest multiasset portfolios is the 60% stocks and 40% bonds mix (60/40) that institutional investors adopted in the mid-1960s, based on their observation of stock and bond returns from 1926 through 1965. Table B.4 shows how a 60/40 portfolio of the MSCI US and U.S. Treasury indexes, as well as the MSCI US index, have performed since 1974, with and without the addition of 12-month absolute momentum.

Table B.4 60/40 Balanced Portfolio Performance, 1974–2012

	Annual Return	Annual Std Dev	Annual Sharpe	Max. Drawdown	% Profit Months	Correlation to S&P 500	Correlation to 10-Yr. Bond
60/40 w/abs mom	11.52	7.88	0.72	–13.45	74	0.67	0.37
60/40 No mom	10.86	10.77	0.47	–29.32	63	0.92	0.46
MSCI US w/abs mom	12.26	11.57	0.55	–22.90	75	0.74	0.13
MSCI US no mom	11.62	15.74	0.37	–50.65	61	1.00	0.10

The 60/40 portfolio without momentum shows some reduction in volatility and drawdown compared to an investment solely in U.S. stocks. However, the strong 0.92 monthly correlation of the 60/40 portfolio with the S&P 500 shows that the 60/40 portfolio has retained most of the market risk of stocks. Because stocks are much more volatile than bonds, stock market movement dominates the risk in a 60/40 portfolio. From a risk perspective,